

market decline must be steeper to drop farther in a shorter time. In fact, the velocity in bear markets is almost twice as fast as in bull markets.

Table 42.2 General Statistics

Description	Bull Market	Bear Market
Number found	651	229
Reversal (R), continuation (C) occurrence	100% R	100% R
Average decline	−17%	−23%
Standard & Poor's 500 change	−2%	−10%
Days to ultimate low	59	42
How many change trend?	32%	53%

How many change trend? This is a count of how often price declines by more than 20%. I consider values above 50% to be good (for upward breakouts), but this chart pattern beats the benchmark even though the breakout is downward.

Table 42.3 lists failure rates. Complex tops have low failure rates (at the breakeven value) when compared to other chart patterns. In bear markets, just 7% fail to see price drop more than 5% after the breakout. Almost half (47%) fail to drop more than 20%.

Bull markets have substantially higher failure rates as the table shows.

Notice how the failure rates rise for small maximum price declines. The bear market number rises from 7% and almost triples to 20% for a 5-percentage-point rise in the maximum price decline.

In bull markets, 55% of complex tops will fail to see price drop no more than 15%. That's triple the breakeven failure rate (18%).

Table 42.4 shows breakout-related statistics.

Breakout direction. By definition, the breakout direction from a complex top is downward. No exceptions. If price breaks out upward first, then you have an invalid complex top.

Yearly position, performance. Bearish patterns don't do well with this item and complex tops are another example. Bull markets show better